EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904. Allacapan is a third-class municipality as per income class and is composed of 27 barangays, with a total population of 35,234 in 8,081 households (actual data from the MHO based on BHW Census 2020). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Allacapan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	708,215,088.82	665,851,165.88	42,363,922.94
Liabilities	132,296,194.81	104,885,229.09	27,410,965.72
Government Equity	575,918,894.01	560,965,936.79	14,952,957.22
Financial Performance			
Income	232,465,478.52	219,341,779.03	13,123,699.49
Expenses	229,812,731.98	210,726,397.99	19,086,333.99
Net Income	2,652,746.54	8,615,381.04	(5,962,634.50)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement of Municipal Disposal Facility	P3,000,000.00
Continuation of the Allacapan Sports Complex	2,997,048.66
Construction of Slaughter House	1,132,748.00
Construction of Grains Processing Center	4,996,284.35
Construction of Barangay Sports & Cultural Center - Daan-Ili	4,476,000.28
Construction of Barangay Sports & Cultural Center - Burot	4,998,061.98
Concreting of Capagaran to Capalutan Farm-to-Market Road	2,717,455.61
Continuation of the Improvement of Municipal Multi-Purpose Building	2,690,680.11
Construction of Barangay Gym at Silagan	1,998,394.18
Construction of Barangay Gym at Labben	1,997,113.30
Rehabilitation of Evacuation Center at San Juan	3,497,322.06
Total	**P34,501,108.53**

E. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2024 due to: (1) non-conduct of complete inventory count, reconciliation, one-time cleansing procedures and non-disposal and non-derecognition of unserviceable PPEs, thus, affecting the reliability of the said account amounting to P573,132,346.07; (2) inclusion of semi-expendable properties totaling P9,825,456.80, with a net book value of P2,070,184.38 in the PPE account; and (3) unreconciled balance of Road Networks account per Accounting Records and Inventory Report amounting to P33,885,825.94.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Completed projects totaling P5,193,032.20 remained recorded under the Construction in Progress account as of December 31, 2024 and projects totaling P11,585,687.64 were reclassified to the appropriate Property, Plant and Equipment accounts only at year-end despite completion at an earlier date, resulting in non-recognition of depreciation expenses and accumulated depreciation, thus, overstating the total PPE account in the Statement of Financial Position and understating the total expenses in the Statement of Financial Performance.

   We recommended that Management direct the Municipal Accountant to:

   A. Ensure the timely reclassification of completed projects from the Construction in Progress account to the appropriate Property, Plant, and Equipment accounts immediately upon project completion;

B. Recognize depreciation expenses in the period the assets become available for use to reflect accurate balances in the Statement of Financial Position and Statement of Financial Performance;

C. Record the transfer of the completed infrastructure projects in CY 2018 amounting to P5,193,032.20 from CIP to the appropriate PPE account and recognize the total depreciation expense and the corresponding accumulated depreciation; and

D. Compute the depreciation expense of the PPE accounts pertaining to infrastructure projects completed in CY 2024 from the period the PPE accounts were available for use until the end of the year, thereby ensuring the reliability of the reported surplus.

2. The advance payment for mobilization, progress billings, final payment and release of retention money to contractors of three (3) infrastructure projects, with total contract price amounting to P7,492,722.75, were not supported with complete documentation, thus, affecting the validity, propriety and legality of said disbursements.

   We recommended that the Management submit the lacking documents on the payment of mobilization fee, progress billing/final payment and release of retention money for the Construction of Health Center at Capagaran, Concreting of Farm-to-Market Road at Labben and Capanickian Sur projects and ensure that disbursements for infrastructure projects of the Municipality are supported with complete documentary requirements.

3. Other Receivables amounting to P3,458,405.38 remain dormant for more than ten (10) years due to non-compliance with the guidelines and procedures on the proper disposition, and write-off of dormant accounts, thus, affecting the accuracy and reliability of the Financial Statements.

   We recommended that the Management undertake the following:

   A. Direct the Municipal Accountant to conduct regular and periodic verification, analysis, and validation of receivables to ensure their accuracy and existence;

   B. For dormant accounts where records and documents are no longer available, conduct investigation as to the causes of the missing documents or to identify the officials and employees responsible; and

   C. Initiate the request for write-off of the dormant accounts and comply with guidelines and procedures on the proper disposition and write-off/derecognition of dormant accounts.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,509,226.02	-	-	2,509,226.02	0%
Current Year	-	-	-	-	-
Total	**2,509,226.02**	**-**	**-**	**2,509,226.02**	**0%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the twelve (12) audit recommendations embodied in the CY 2023 Annual Audit Report, five (5) were fully implemented, four (4) were partially implemented and three (3) were not implemented, hence, reiterated in Part II of this Report.